

2008 THE LAUNCH OF NANO

Wheels for the People

The world's cheapest car showed big business had a big heart

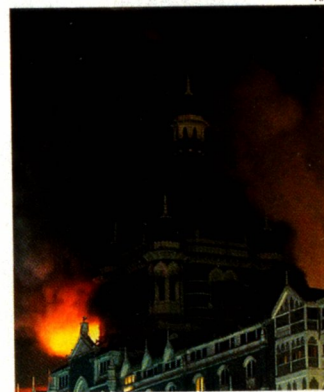
It wouldn't be an exaggeration to say riots broke out at Pragati Maidan on January 10, 2008—the day Ratan Tata unveiled the people's car. Everyone from ordinary Indians to representatives of global auto companies to the world media jostled for space to get the first look. Born out of a desire to provide safe and affordable transportation to every Indian, the Nano is an idea more than a car. Over the six years that Tata Motors took to develop it, critics often asked if the world's smallest car would be more like a rickshaw or even a quadricycle. "The first doodles," Tata says, "were sketches of a two-wheeler with a bar around it and some weather-proofing." But the final product has the entire world in awe because it's now on record that India can teach the world auto majors a thing or two in "frugal engineering". Tata Motors' vendors, which include Bosch for powering the car, Lumax for lights and Sona for steering, re-engineered their products to bring down costs by 15 per cent. Blowing away many existing beliefs of the auto industry, Tata Motors redefined the economics of car-making and marketing. The Rs 1-lakh Nano will earn no more than Rs 10,000 per car in operating profit for the company. The buzz around the Nano has been so phenomenal that hardly any money was spent on advertising. Its success lies not only in the 2.03 lakh bookings so far valued at nearly Rs 2,500 crore, but also in the fact that the world is fast realising India's engineering as well as R&D capability are of very high quality and that the production costs are 25-30 per cent cheaper. Now Tata's bitterest rivals are burning the midnight oil to launch their small car. Renault, Nissan Motors and Bajaj Auto have come together to launch an ultra low-cost car in India by 2012. Hyundai has also committed to invest Rs 800 crore to launch a car around the same time which will be smaller and cheaper than the Santro. Imitation, as they say, is the best form of flattery.

by Malini Bhupta

RATAN TATA
WITH THE NANO



THE MAIN EVENT Mumbai Attacks



THE BURNING DOME OF THE
TAJ MAHAL HOTEL

Just as 9/11 entered the dictionary of terror, so too will 26/11, the day which will go down as Mumbai's darkest hour, when terrorists laid siege to the city's roads, airports, railway station, hospitals and two of its best known luxury hotels, leaving a trail of death and destruction and taking hostages. The scenes were devastating: explosions, raging fires, dead bodies, heavily armed terrorists with rucksacks containing grenades and explosives, firing indiscriminately at people on the streets, and a metropolis on its knees. The most heart-rending sight was Mumbai's most iconic and beautiful building, the 106-year-old heritage wing of the Taj Mahal Hotel, reduced to a blackened ruin. The strikes that shook the country's intelligence and security agencies like nothing before left 165 people dead.

India Today, December 8, 2008

ALSO

- India gets its first PPP airport at Kochi costing Rs 315 crore
- Abhinav Bindra wins India's first individual Olympic gold
- The first unmanned moon mission, Chandrayaan, is launched successfully